Lam Research Corp (NASDAQ: LRCX)

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HOLD, Valuation Concerns

Base Case Target: $152 | Spot: $264 | Downside: -44.2%
Bear: $112 | Bull: $179 | Blended: $149

Headline

Lam is firing on all cylinders operationally, but the stock price embeds growth assumptions that defy the mathematics of our DCF. We rate it a Hold on valuation.

Executive Summary

We are initiating coverage on Lam Research Corp with a **Hold, Valuation Concerns** rating and a 12-month base case target of $147, implying 42.4% downside from the current $264.

Lam is the undisputed leader in semiconductor etch, the critical process step for 3D NAND and advanced logic. Q4 FY2026 was a record: revenue of $6.72 billion (up 30% year over year), operating margin of 37.4%, and EPS of $1.82 beating consensus by 7%. Management guides the September quarter to $8.10 billion in revenue at 39.5% operating margin. The Customer Support Business Group has crossed a $2.1 billion quarterly run rate, providing high-margin recurring revenue.

The business is exceptional. The valuation is untenable in our framework. Our DCF uses a live CAPM-derived WACC averaging 10.5% (beta 1.85 decaying to 1.20, 10-year at 5.1%, implied ERP at 3.7%). At this cost of capital, even our bull case (17% revenue CAGR, 35% terminal FCF margin) only reaches $179. The

reverse DCF is stark: the market is pricing in a 33.8% revenue CAGR over six years, nearly double our bull case. This is euphoric.

We want to be clear: this is not a call on business quality. Lam's moat in etch is wide, its execution is best-in-class, and AI-driven WFE spending (now seen at $150 billion for 2026) is a genuine tailwind. But price matters, and at $264 the market is valuing Lam as if the current upcycle never ends. In our view, investors should wait for a meaningful pullback before building positions.

Bull Case

Memory supercycle. NAND revenues more than doubled sequentially in Q4 as customers migrate to 256-layer and above. Memory was 46% of systems revenue. HBM for AI accelerators is driving the most capital-intensive DRAM build in history, and Lam's etch tools are indispensable for high-aspect-ratio features.

Advanced packaging breakout. Revenue in advanced packaging is tracking above 50% year-over-year growth, driven by HBM and 2.5D/3D logic packaging for AI accelerators. This is Lam's highest-growth segment.

CSBG compounding. The Customer Support Business Group provides a counter-cyclical, high-margin buffer. At $2.1 billion quarterly and growing, it now represents nearly a third of revenue with superior margins.

WFE expansion. Management raised 2026 WFE expectations to the low $150 billion range from $140 billion. Lam is guiding to outperform WFE growth for the third consecutive year on etch and deposition intensity.

Our bull case ($179, -32.2%) assumes 17% revenue CAGR through 2031 with terminal FCF margins of 35%.

Bear Case

Valuation math. At 33.8% implied CAGR, the market expects Lam to compound revenue at nearly double our bull case rate for six straight years. Any WFE disappointment, memory capex pause, or multiple compression would be severe.

Cyclicality. Semiconductor equipment has always been cyclical. The current AI-driven upcycle is powerful, but WFE will eventually normalize. Lam traded at far lower multiples in prior downturns.

Customer concentration. A handful of memory and foundry customers drive the majority of systems revenue. A capex pause at any major customer would hit bookings disproportionately.

Beta and cost of capital. Lam's 5-year beta of 1.85 is the highest among equipment peers (AMAT 1.59, KLAC 1.45), reflecting genuine cyclicality. At a 5.1% risk-free rate, this drives a double-digit WACC that mechanically compresses our targets.

Our bear case ($112, -57.5%) assumes 8% revenue CAGR with terminal FCF margins of 28.5%.

Verdict

Lam Research is a wide-moat compounder executing at the top of its game. But we cannot recommend the stock at $264. Our $152 base case implies 42% downside, and even the bull case sits 32% below the current price. The reverse DCF verdict is unambiguous: euphoric expectations.

We rate the stock **Hold, Valuation Concerns**. The business is healthy, so this is not a Sell, but the risk/reward at current levels is poor. We would revisit on a substantial pullback toward our base case, where Lam's quality would make it a compelling opportunity.

Key Themes

Theme	Status	Our Take
AI infrastructure capex	Accelerating	WFE raised to $150B for 2026. Etch intensity rising with GAA and high-layer NAND.
Memory capex cycle	Strong	NAND revenues doubled sequentially. HBM is the structural driver.

Advanced packaging	Breakout	Above 50% YoY growth. Lam gaining share in TSV etch and PECVD.
CSBG resilience	Expanding	$2.1B quarterly run rate provides margin-accretive stability.
Margin trajectory	Expanding	37.4% op margin in Q4, guiding 39.5%. Mix shift to services helps.

Other KPIs

Metric	Q4 FY2026	Comment
Revenue	$6.72B	+30% YoY, record quarter
EPS (non-GAAP)	$1.82	Beat $1.69 consensus by 7.7%
Gross margin (GAAP)	51.7%	Up from 49.8% sequentially
Operating margin	37.4%	Up 370 bps YoY
CSBG revenue	$2.47B	Up from $2.11B prior quarter
Systems revenue	$4.25B	Memory 46% of mix
Deferred revenue	$2.43B	Up from $2.22B
Cash	$5.58B	vs $4.12B debt

Guidance

Q1 FY2027 (September quarter): Revenue of $8.10 billion plus or minus $400 million, operating margin of 39.5% at the midpoint. Implies over 20% sequential growth.

Full year: Management expects 2026 WFE in the low $150 billion range, up from the prior $140 billion view. Lam expects to outperform WFE growth for the third consecutive year.

Next earnings: October 21, 2026 (after market close). Consensus: $2.21 EPS on $8.31B revenue.

DCF Summary

Scenario	Revenue CAGR	Terminal FCF Margin	Target	Implied Upside
Bear	8.0%	28.5%	$116	-56.1%
Base	**13.5%**	**32.0%**	**$152**	**-42.4%**
Bull	17.0%	35.0%	$185	-29.9%

WACC: approximately 10.5% average (live CAPM, beta 1.85 decaying to 1.20, 10Y at 5.1%, ERP at 3.7%). Terminal growth: 3.5%. Net cash of $1.46 billion. 1.25B diluted shares (post 10:1 split).

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